

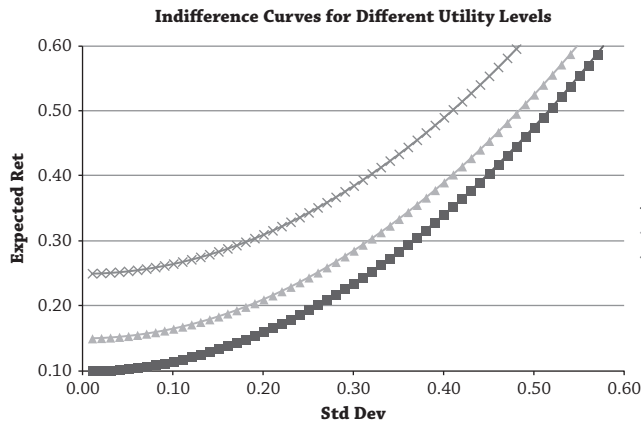


Figure 2.5

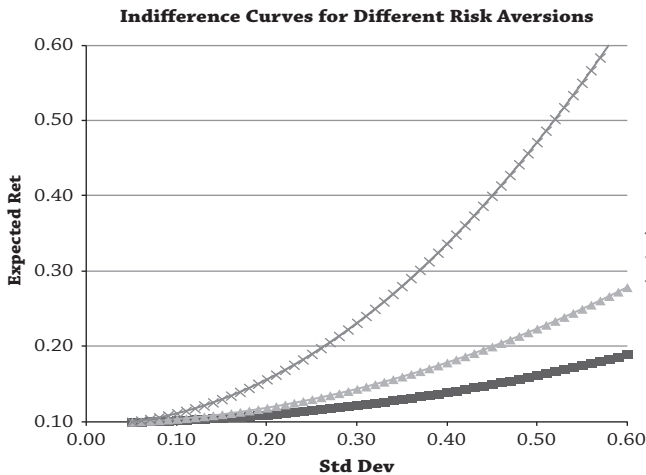


Figure 2.6

highest possible utility. Higher indifference curves lie to the left. Higher indifference curves have higher means and lower volatilities, which correspond to higher utility from equation (2.4). While Figure 2.5 plots just three indifference curves, there is in fact an infinite family of indifference curves for every investor. These indifference curves lie parallel to each other.¹⁵

In section 2.3, we interpreted the shape of a utility function as being summarized by the risk aversion coefficient. The same intuition applies to indifference curves. The more risk averse an investor, the steeper the slope of his indifference curves. In Figure 2.6, I plot indifference curves for three levels of risk aversion. For

¹⁵They are parabolas because equation (2.4) is quadratic in σ_p .